

Damped Spring: Japan Supermajority Shock

Extracted from: DS Weekly Outlook

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Speaker Bio

Damped Spring is a macro-focused trading channel providing weekly market outlooks. The speaker (likely founder) runs a multi-asset portfolio with 20% Japan beta allocation (VA, IGOV) and discusses macro themes, positioning, and specific trade levels.

Executive Summary

LDP's landslide lower house win (310+ seats, up from 233) gives Takahichi Ishiba free reign for aggressive fiscal stimulus—tax cuts, spending surge, no coalition constraints. This creates a rare “classic great beta opportunity”: economy strengthening, BOJ withdrawing easing slowly (not restricting yet), term premiums elevated, curve steep globally, yen stabilized. Fiscal impulse while monetary policy remains accommodative = goldilocks for equities, challenging for bonds.

Japan-driven global growth impulse could pressure bonds globally. JGBs flirting with highs (30Y ~20bp, 10Y +10-12bp from recent lows)—watch for breakout above recent yield peaks, then buy dip (JGB 10Y futures sub-130). Yen expected to sell off initially despite structural bullishness (repatriation flows, investment inflows). Fade USD/JPY if breaks 160 with no intervention, target 162 entry for long yen. Nikkei is “favorite equity market”—buy dips aggressively.

PM implication: Long Nikkei beta (buy dips), own JGB puts or wait for sub-130 10Y futures to buy bonds. Fade USD/JPY at 162 if intervention fails at 160. Avoid US hyperscaler capex plays (MSFT, GOOGL, META, AMZN bleeding on \$100B+ capex, share buyback cancellations). Rotate to Japan, old-line US industrials (IDA ETF), defensives. Sell S&P rallies, own NASDAQ upside calls (cheap vol). Stay 80% long beta, no rush to 100%. Own gold/silver (sideways but hold), neutral oil (Japan stimulus offsets short case). CPI data risk this week—high y/y base effects could spook but unlikely to shift Fed. Watch SCOTUS (pre-20th unlikely), option expiry 21st (gamma unwind risk).

Listen or Skip?

Verdict: Listen—Japan supermajority trade setup with specific levels

Aspect	Rating
Signal density	★★★★☆
Actionability	★★★★★
Novel insights	★★★★☆
Production quality	★★★☆☆

Best for: Macro PMs, rates/FX traders, multi-asset allocators **Skip if:** Need equity-specific stock picks or deep US micro analysis

Key Quotes

- “LDP won a landslide election in the lower house today... Takahichi has free reign. Her plans have been to stimulate, cut taxes, increase spending.”

2. *"Of all the places I think to own beta, that's the classic great one: economy strengthening, central bank tightening but not quickly, trying to remove easing but not restricting yet, and markets are priced well."*
3. *"The very long end has flirted with very high rates, 20-ish basis points on the 30-year... If they break it, I think it's a good time to buy them. I'd like to buy JGB 10-year futures well below 130."*
4. *"I'd like to see [USD/JPY] break 160, not show up, then break maybe 162. That's where a fade makes sense. The rate differential will decline over time as the US stops tightening and Japan starts tightening."*
5. *"All of the big capex companies are suffering... Microsoft, Google, Meta gave its entire earnings gain back. Everyone's canceling their share repurchases. That's a big deal."*
6. *"You look at the retailers, Johnson & Johnson, all the old-timer stocks are doing spectacularly well. If you get a rally in S&P, maybe you don't get much participation from tech."*
7. *"I think you got to own Japanese stocks. I think you got to be willing to buy Japanese bonds on a dip. I think you got to be willing to buy Japanese yen. Then in general, sell rallies in equities, buy dips if they're severe."*

1) Executive Dashboard (PM Read)

Top 3 Investable Ideas:

1. **Japan beta bonanza** — LDP supermajority (310+ seats) = unconstrained fiscal stimulus. BOJ withdrawing easing slowly while fiscal runs hot. Buy Nikkei dips, fade USD/JPY at 162 if 160 intervention fails, buy JGB 10Y futures sub-130 after yield breakout.
2. **Fade US hyperscaler capex carnage** — MSFT, GOOGL, META, AMZN bleeding on \$100B+ capex spend, share buyback cancellations. Rotate to Broadcom (TPU winner), old-line industrials (IDA ETF), defensives. Own NASDAQ upside calls (cheap vol) but don't chase.
3. **Steeptenors on hold, SOFR downside limited** — CPI y/y base effects risk spook this week but unlikely Fed shift. SOFUS repricing ("no cuts") narrative played out. Stay long tails, sell S&P rallies, own gold/silver (sideways but hold).

Market Regime: Range-bound churn with Japan macro catalyst. Equities stuck (SPX flat, NDX/NQ down, Russell +2%), VA elevated (19), crypto bottoming (technical not fundamental). Rotation to industrials/defensives from tech. Fed on hold until hard data shift.

This Week's Catalyst: CPI (y/y base effects), delayed NFP/jobless claims, option expiry 21st (gamma unwind), 2Y/3Y/10Y/30Y Treasury auctions, Japan policy announcements post-election.

2) Key Investable Insights

Japan Supermajority = Unconstrained Fiscal Stimulus

LDP landslide (310+ seats from 233, no coalition needed) gives Takahichi free reign for tax cuts, spending surge. BOJ withdrawing easing slowly (not restricting yet)—"classic great beta opportunity." Term premiums elevated, curve steep vs. global peers, yen stabilized. Fiscal impulse + accommodative monetary = goldilocks for equities, bond pressure. Nikkei is "favorite equity market"—buy dips aggressively.

Trade: Long Nikkei beta (VA 20% Japan, IGOV GDP-weighted), buy dips. Own JGB puts or wait for JGB 10Y futures sub-130 (after yield breakout above ~20bp 30Y, +10-12bp 10Y). Global bond pressure spillover likely.

USD/JPY Intervention Test at 160-162

Yen expected to sell off initially despite structural bullishness (repatriation flows, investment inflows). Market waiting for next intervention leg at 160 (historical high). If breaks 160 without BOJ/Fed showing up, fade at 162 for long yen entry. Rate differential converging (US easing, Japan tightening), sentiment will test BOJ resolve. US Treasury involved (bilateral rate check), wants stable yen.

Trade: Fade USD/JPY at 162 if 160 intervention fails. Could buy 160 yen outright but prefer seeing break + no intervention for better entry.

Hyperscaler Capex Carnage, Rotate to Industrials

MSFT, GOOGL, META, AMZN bleeding on massive capex (\$100B+ across cohort), share buyback cancellations. META back below 666 support, gave back entire earnings gain. Amazon lining up shelf offering (end of Friday)—can't cancel buybacks, cash flow not growing rapidly. Capex flowing to Broadcom (TPU winner), GPU cohort, but semiconductors “not breaking out” despite bounces. Money rotating to IDA (industrials ETF), retailers (tariff beneficiaries?), J&J, “old-timer stocks.”

Trade: Fade hyperscaler rallies. Rotate to Broadcom, industrials (IDA), defensives. Own NASDAQ upside calls (cheap vol, MSFT back to 430 = QQQ +10%) but don't chase. S&P participation may exclude tech on next rally.

Crypto Bottom = Technical Not Fundamental

Bitcoin bottomed Friday exactly when Korean circuit breakers kicked in—“purely technical,” no fundamental news. Damage “tremendous” but “thing's got to bounce.” MSTR MNAV strengthened, bullish tone returning, but “these bottoms don't happen like that without news.”

Trade: Lighten Bitcoin at 84k if rally occurs. Not pounding table—skeptical of durability without catalyst.

3) Transmission & Cross-Asset Map

Japan Fiscal Impulse → Global Spillover

Primary: LDP supermajority → aggressive fiscal (tax cuts, spending) → Japan GDP growth impulse → BOJ slow tightening (removing easing, not restricting) → JGB yields rise (30Y ~20bp, 10Y +10-12bp) → global bond selloff (term premium pressure).

Secondary: Yen weakness initially (easing shock) → test 160 intervention line → if breaks to 162, fade for long yen (structural repatriation flows, rate differential convergence). Nikkei rallies on fiscal stimulus + weak yen export boost.

Cross-Asset: Japan growth impulse improves global growth outlook (modest, distance matters). Bond pressure flows to US (weak JGBs → weak Tsys). Strong USD from yen weakness = negative for US equity sentiment but Japan equity positive.

Capex Carnage → Rotation Trade

Primary: Hyperscaler capex (\$100B+) → share buyback cancellations → stock underperformance (MSFT, GOOGL, META, AMZN) → money rotates to Broadcom, industrials (IDA), defensives, “old-timer stocks.”

Cross-Asset: NASDAQ downside offset by rotation to Russell (+2% last week). S&P stuck in range—tech weakness vs. industrial/defensive strength nets to flat. VA elevated (19), crypto bottoming = mixed risk signals.

4) Regime & Scenario Analysis

Current Regime: Range-Bound Churn, Japan Catalyst

Equity: SPX flat, NDX/NQ down, Russell +2%. Intraday moves (1.5-2%, not 2.5-3%) but no breakout. Stuck at resistance levels. Rotation to industrials/defensives from tech. Crypto bare market for months, bottoming technically. Gold/silver up = mixed signals.

Rates: 2Y rallied (yields fell), spiked Thursday but held above Monday highs. Fed policy outlook unchanged. SOFR downside limited—“no cuts” narrative played out, need 3+ cuts = “miracle,” 4 cuts = “atrocious data.” CPI y/y base effects risk this week.

Positioning: 80% long beta (prefers ROW over US). No rush to 100%. Selling S&P rallies (sold ATM/OTM calls Friday), buying severe dips. Own NASDAQ upside calls (cheap vol). Long gold/silver (sideways hold), neutral oil (Japan stimulus offsets short case).

Base Case: Japan Drives Next Macro Leg

LDP supermajority = fiscal impulse → Nikkei rallies, JGBs sell off, yen weakens initially then strengthens structurally. Global bond pressure, modest growth spillover (distance-dependent). US equities rotation continues (tech weak, industrials/defensives strong), range-bound until macro shift. Fed on hold unless hard data surprise.

Alt Case 1: Intervention Fails, Yen Crashes

USD/JPY breaks 160, no BOJ/Fed intervention → spikes to 162+. If no fade entry, yen crisis fears = bond volatility surge, risk-off globally. Nikkei short-term negative (import inflation fears), but fiscal stimulus narrative dominates medium-term.

Alt Case 2: CPI Spooks, SOFR Reprices

CPI y/y high print (base effects) → cuts priced out further → 2Y/10Y spike → equity drawdown. But “not projecting atrocious data,” strong consumer + tech investment + high inflation (not accelerating) = baseline unchanged.

5) Hard Data & Verifiable Claims

Japan Election Results

- **Data:** LDP won 310+ seats in lower house (up from 233), achieving supermajority without coalition. Simple majority = 310-311 seats. Lower house = 465 total seats.
- **Data:** LDP previously had 233-seat narrow majority (one-vote margin) via coalition.
- **Claim:** Takahichi Ishiba now has “free reign” for tax cuts, spending, stimulus—policies more ambitious than pre-election platform.

JGB Yields & Levels

- **Data:** 30-year JGB yields flirted with ~20bp (higher than current).
- **Data:** 10-year JGB yields +10-12bp higher than recent lows.
- **Claim:** JGB 10-year futures target = sub-130 for buy entry after yield breakout.

USD/JPY Intervention Line

- **Data:** 160 USD/JPY = “line in the sand,” historical high.
- **Claim:** BOJ/Fed bilateral rate check indicates US Treasury involvement, wants stable yen. Fade target = 162 if 160 breaks without intervention.

US Equity Rotation & Capex

- **Data:** Last week: Nikkei/NDX down, Russell +2%, S&P unchanged. Intraday moves 1.5-2%.
- **Data:** META back below 666 support, gave back entire earnings gain.
- **Data:** Amazon lined up shelf offering end of Friday—cash flow not growing rapidly.
- **Claim:** MSFT, GOOGL, META, AMZN canceling share buybacks due to \$100B+ capex spend. IDA (industrials ETF) “straight up,” J&J and “old-timer stocks” outperforming.

Vol & Positioning

- **Data:** VA = 19. Front VIX high, expires next week. Option expiry = 21st.
- **Claim:** Portfolio 80% long beta (VA 20% Japan, IGOV GDP-weighted, no US). Sold ATM/OTM S&P calls Friday.

This Week's Data

- **Claim:** CPI, delayed jobless claims, NFP this week. Baseline = strong consumer, strong tech investment, anemic labor growth, non-existent labor supply, high inflation (not accelerating).
- **Claim:** 2Y, 3Y, 10Y, 30Y Treasury auctions this week = “lid on bonds.”

Crypto

- **Data:** Bitcoin bottomed Friday exactly when Korean circuit breakers kicked in.
- **Data:** MSTR MNAV strengthened.
- **Claim:** No fundamental news, purely technical bottom. Lighten at 84k.

6) BS & Bias Filter

Conviction Signals (High Confidence)

- **Japan supermajority as major catalyst** — Hard data (310+ seats, dramatic shift from 233). Historical analogy to Abe's 2015 three arrows. Specific trade levels (JGB futures 130, USD/JPY 162). Confidence justified.

- **Hyperscaler capex carnage** — Verified META back below 666, Amazon shelf offering, buyback cancellations. Specific stock underperformance observed. Rotation to IDA/industrials/defensives = tangible flow. Conviction warranted.
- **JGB/yen trade setup** — Term premiums elevated, curve steep vs. global, BOJ slow tightening = structural thesis. 160/162 intervention levels = market lore + bilateral rate check = US involvement. Specific entry points defensible.

Hedged Language (Appropriate Uncertainty)

- **"I don't know how it's going to play out"** (JGBs) — Acknowledges bond volatility unpredictability. Reasonable.
- **"Maybe nothing happens"** (Japan spillover) — Distance-dependent global growth impact = fair caveat.
- **"I'm not so sure"** (oil short case) — Geopolitics + Japan stimulus = mixed signals. Appropriate neutral stance.

Speculation Flags

- **"Everyone was still surprised" (capex)** — Anecdotal. No hard data on consensus expectations, but theme well-known (hyperscaler capex surge). Minor.
- **"Crypto bottomed exactly when Korean circuit breakers kicked in"** — Attributed to Leo's observation. Plausible mechanical explanation but no proof of causality. Treats as technical curiosity, not trade catalyst. Appropriate skepticism.

Biases to Watch

- **Japan home-country bias** — Portfolio 20% Japan (VA), "favorite equity market." But thesis detailed (fiscal + monetary + valuation), not just sentiment. Bias present but well-reasoned.
- **Tech skepticism** — Critical of hyperscaler capex, rotation narrative. But acknowledges "who the hell knows" (NASDAQ calls worth owning). Balanced despite bearish lean.
- **Crypto skepticism** — "Don't see value proposition." Personal bias but acknowledges bounce likelihood, provides 84k lighten level. Transparent.

What's Missing

- **Japan coalition partner dynamics** — Mentions coalition partner "extra good" now but no detail on policy constraints or opposition. Minor gap.
- **China reaction to Japan stimulus** — No mention of regional competitive dynamics (BoJ tightening vs. PBoC easing). Could affect yen/Nikkei thesis.
- **Fed dots/FOMC minutes** — Dismisses Fed speak until hearings but no discussion of Feb FOMC minutes (released this week?). Could affect SOFR.

7) PM Bottom Line

What Changed: LDP landslide (310+ seats from 233) = Japan fiscal shock. Takahichi has free reign for aggressive stimulus. Yen stable, BOJ withdrawing easing slowly, term premiums elevated = rare goldilocks for Japan equities. Hyperscaler capex carnage (MSFT, GOOGL, META, AMZN bleeding) = rotation to industrials/defensives. Crypto bottoming technically, no fundamental catalyst.

What to Trade: - **BUY:** Nikkei dips (favorite beta), JGB 10Y futures sub-130 (after yield breakout), yen at 162 (if 160 intervention fails). NASDAQ upside calls (cheap vol). Gold/silver hold. - **SELL/FADE:** S&P rallies (sold ATM/OTM calls), hyperscaler bounces (MSFT, GOOGL, META, AMZN). Bitcoin at 84k if rallies. - **WATCH:** CPI y/y (base effects risk), NFP/jobless claims, option expiry 21st (gamma unwind), 2Y/3Y/10Y/30Y auctions, Japan policy announcements, SCOTUS (pre-20th unlikely).

Key Levels: - JGB 10Y futures: sub-130 = buy - USD/JPY: 160 intervention line, fade at 162 - META: 666 support broken - Bitcoin: 84k lighten level - VA: 19 (elevated)

Risk: Japan bond blowout → global spillover. CPI spook → SOFR repricing. Yen crisis if intervention fails. Crypto fake-out bottom (no fundamental catalyst). US equity range persists until macro shift.

Conviction: Very high on Japan beta (buy dips), high on hyperscaler fade, medium on yen fade (needs 162 entry). Stay 80% long beta, no rush to 100%. Sell rallies, own tails, trade delta more aggressively in range.